

Services PMI® at 56.1%

February 2026 ISM® *Services PMI® Report*

Business Activity Index at 59.9%

New Orders Index at 58.6%

Employment Index at 51.8%

Supplier Deliveries Index at 53.9%

(Tempe, Arizona) — Economic activity in the **services sector continued to expand in February**, say the nation's purchasing and supply executives in the latest **ISM® *Services PMI® Report***. The Services PMI® registered 56.1 percent, its 20th month in a row in expansion territory.

The report was issued today by Steve Miller, CPSM, CSCP, Chair of the Institute for Supply Management® (ISM®) Services Business Survey Committee: "In February, the Services PMI® registered a reading of 56.1 percent, an increase of 2.3 percentage points over January's figure of 53.8 percent and the highest since July 2022 (56.5 percent). The Business Activity Index accelerated its expansion in February, registering 59.9 percent, 2.5 percentage points higher than its reading of 57.4 percent recorded in January. The New Orders Index also accelerated its expansion in February, with a reading of 58.6 percent, 5.5 percentage points above January's figure of 53.1 percent. The Employment Index expanded for the third month in a row with a reading of 51.8 percent, a 1.5-percentage point increase from the 50.3 percent recorded in January.

"The Supplier Deliveries Index registered 53.9 percent, 0.3 percentage point lower than the 54.2 percent recorded in January. This is the 15th consecutive month that the index has been in expansion territory, indicating slower supplier delivery performance. (Supplier Deliveries is the only ISM® PMI® Reports index that is inversed; a reading of above 50 percent indicates slower deliveries, which is typical as the economy improves and customer demand increases.)

"The Prices Index registered 63 percent in February, dropping to 3.4 percentage points below its 12-month average of 66.4 percent. The February figure was a 3.6-percentage point decrease from January's reading of 66.6 percent. The index has exceeded 60 percent for 15 straight months, but February's reading is its lowest since March 2025 (61.4 percent).

"The Inventories Index registered 56.4 percent in February, an increase of 11.3 percentage points from January's figure of 45.1 percent. The Inventory Sentiment Index expanded for the 34th consecutive month, registering 55.3 percent, up 1 percentage point from January's figure of 54.3 percent. The Backlog of Orders Index was in expansion territory for the first time since February 2025, registering 55.9 percent in February, an 11.9-percentage point increase from the January figure of 44 percent. The New Export Orders and Imports indexes also returned to expansion territory. The New Export Orders Index increased to 57.2 percent, a 12.2-percentage point increase over its February reading of 45 percent, and the Imports Index returned to expansion territory at 51.8 percent, an increase of 3.6 percentage points over January's reading of 48.2 percent.

"Fourteen industries reported growth in February, three more than in January, and the number reporting contraction shrank to three. The February Services PMI® reading of 56.1 percent is 4.1 percentage points above the 12-month average of 52 percent. This average is an uptick of 0.2 percentage point over January's 12-month average of 51.8 percent."

Miller continues, "February's Services PMI® features the third month in a row with all four subindexes being in expansion territory, similar to a period from December 2024 through February 2025. Also, all 10 reported indexes were in expansion territory for the first time since March 2021. Further, eight of these indexes are on positive trends, with increases of as much as 11 percentage points over the last six months. The two indexes with negative trends over this time period are Prices, which has declined 6 percentage points, and Inventory Sentiment, which is down 0.4 percentage point. Although the Prices Index is still in expansion territory and in its longest streak above 60 percent since March 2023, February's reading is its lowest in 11 months.

"The services sector is heating up, with the Business Activity, New Orders, and New Export Orders indexes at their highest levels since 2024, and the Backlog of Orders Index with its best reading since July 2022 (58.3 percent). The Supplier Deliveries Index is higher (and indicates slower deliveries) than its 12-month average, but the index has eased slightly since the previous month. Gasoline was noted by some respondents as a commodity up in price for the first time since February 2025, and copper was up in price for the third month in a

row. Commentary on trade uncertainty increased, with respondents commenting that tariffs impacts have stabilized and are now embedded in supply chain costs. Although there were several comments on tariff uncertainty regarding the U.S. Supreme Court decision, there was no alarm regarding supply chain performance, suggesting that services companies have developed capabilities to routinely address shifts in tariff policies.”

INDUSTRY PERFORMANCE

The 14 services industries reporting growth in February — listed in order — are: Mining; Information; Real Estate, Rental & Leasing; Agriculture, Forestry, Fishing & Hunting; Accommodation & Food Services; Wholesale Trade; Finance & Insurance; Utilities; Professional, Scientific & Technical Services; Construction; Management of Companies & Support Services; Public Administration; Health Care & Social Assistance; and Educational Services. The three industries reporting a contraction in the month of February are: Retail Trade; Arts, Entertainment & Recreation; and Transportation & Warehousing.

WHAT RESPONDENTS ARE SAYING

- “India tariffs are anticipated to provide some measure of cost relief once current inventory levels are worked through. At a high level, we are addressing price/value perception which continues to drive negative sales impact.” [Accommodation & Food Services]
- “Our industry seems to have adapted to the tariffs. The costs are embedded into the import cost the company has to shoulder.” [Agriculture, Forestry, Fishing & Hunting]
- “Residential homebuilding continues to lag due to affordability and interest rate issues. While we saw improved sales last month due to further discounts, we struggled to achieve similar results in February. More material cost increases have rolled in for beginning of the second quarter, so margins continue to be reduced.” [Construction]
- “Higher education institutions are operating cautiously due to enrollment fluctuations and uncertainty in state and federal funding and name, image and likeness licensing. While supply chains have improved, costs remain high for technology, facilities, utilities, and contracted services. Labor expenses are also increasing due to competitive hiring. As a result, purchasing decisions are focused on essential needs, cost control, and maintaining key operations, with some noncritical projects being delayed.” [Educational Services]
- “Tariff volatility and shifting bilateral trade agreements are materially impacting our purchasing operations. Changes in U.S. semiconductor supply constraints continue to pressure component pricing and availability. The combination of tariff exposure and semiconductor market instability is increasing procurement risk, compressing margins, and requiring more aggressive supplier diversification and contractual protections to maintain cost competitiveness.” [Mining]
- “The business climate remains solid overall, but significant unknown risks from further potential tariff actions by the U.S. government are dampening business investment.” [Real Estate, Rental & Leasing]
- “Due to random-access memory shortages, we are seeing increased cost and lead times from key technology providers. Quotes that were normally secure for 90 days are now 30 days or less.” [Retail Trade]
- “Transportation/truck capacity has been extremely tight, causing rates to spike 30 percent to 40 percent. Some of this can be attributed to the weather; some can be attributed to the Federal Highway Administration’s push to make sure all drivers are proficient in English and others can be attributed to an increase in commerce.” [Transportation & Warehousing]
- “Mid-first quarter business conditions are good. The unseasonable cold weather has helped to increase demand and boost revenues. All else is on track so far.” [Utilities]
- “Overall, our business performance in January and February has been solid (minus some winter storm hurdles). Our upstream oil and gas business has stalled for two years and is not supporting our growth. On the other hand, all data center-related activity continues to grow substantially. Downstream is always steady, but we are taking more market share within it. The business here is busy. All industries are doing well, minus the oil field business.” [Wholesale Trade]

ISM® SERVICES SURVEY RESULTS AT A GLANCE
COMPARISON OF ISM® SERVICES AND ISM® MANUFACTURING SURVEYS*
FEBRUARY 2026

Index	Services PMI®						Manufacturing PMI®		
	Series Index Feb	Series Index Jan	Percent Point Change	Direction	Rate of Change	Trend** (Months)	Series Index Feb	Series Index Jan	Percent Point Change
ices PMI®	56.1	53.8	+2.3	Growing	Faster	20	52.4	52.6	-0.2

	Services PMI®						Manufacturing PMI®		
Index	Series Index Feb	Series Index Jan	Percent Point Change	Direction	Rate of Change	Trend** (Months)	Series Index Feb	Series Index Jan	Percent Point Change
Business Activity/Production	59.9	57.4	+2.5	Growing	Faster	20	53.5	55.9	-2.4
New Orders	58.6	53.1	+5.5	Growing	Faster	9	55.8	57.1	-1.3
Employment	51.8	50.3	+1.5	Growing	Faster	3	48.8	48.1	+0.7
Supplier Deliveries	53.9	54.2	-0.3	Slowing	Slower	15	55.1	54.4	+0.7
Inventories	56.4	45.1	+11.3	Growing	From Contracting	1	48.8	47.6	+1.2
Prices	63.0	66.6	-3.6	Increasing	Slower	105	70.5	59.0	+11.5
Backlog of Orders	55.9	44.0	+11.9	Growing	From Contracting	1	56.6	51.6	+5.0
New Export Orders	57.2	45.0	+12.2	Growing	From Contracting	1	50.3	50.2	+0.1
Imports	51.8	48.2	+3.6	Growing	From Contracting	1	54.9	50.0	+4.9
Inventory Sentiment	55.3	54.3	+1.0	Too High	Faster	34	N/A	N/A	N/A
Customers' Inventories	N/A	N/A	N/A	N/A	N/A	N/A	38.8	38.7	+0.1
OVERALL ECONOMY				Growing	Faster	69			
Services Sector				Growing	Faster	20			

ISM® *Services PMI® Report* data is seasonally adjusted for the Business Activity, New Orders, Employment and Prices indexes. ISM® *Manufacturing PMI® Report* data is seasonally adjusted for New Orders, Production, Employment and Inventories indexes.

**Number of months moving in current direction.

COMMODITIES REPORTED UP/DOWN IN PRICE, AND IN SHORT SUPPLY

Commodities Up in Price

Cement Products; Chips; Computers; Copper (3); Gasoline*; Fuel; Labor (7); Lumber (2); Memory Products (2); Software; Software — Licensing; Software Maintenance; and Wire & Cable.

Commodities Down in Price

Diesel Fuel (3); and Gasoline* (12).

Commodities in Short Supply

Electronic Components; High Voltage Equipment; Labor — Construction; and Memory Components (2).

Note: The number of consecutive months the commodity is listed is indicated after each item.

* Indicates both up and down in price.

FEBRUARY 2026 SERVICES INDEX SUMMARIES

SERVICES PMI®

In February, the Services PMI® registered 56.1 percent, the index’s highest reading since it registered 56.5 percent in July 2022. A reading above 50 percent indicates the services sector economy is generally expanding; below 50 percent indicates it is generally contracting.

A Services PMI® above 48.1 percent, over time, generally indicates an expansion of the overall economy. Therefore, the February Services PMI® indicates the overall economy is expanding for the 69th straight month. Miller says, “The past relationship between the Services PMI® and the overall economy indicates that the Services PMI® for February (56.1 percent) corresponds to a 2.5-percentage point increase in real gross domestic product (GDP) on an annualized basis.”

SERVICES PMI® HISTORY

Month	Services PMI®
Feb 2026	56.1
Jan 2026	53.8
Dec 2025	53.8
Nov 2025	52.4
Oct 2025	52.0
Sep 2025	50.3

Month	Services PMI®
Aug 2025	51.9
Jul 2025	50.5
Jun 2025	50.8
May 2025	50.2
Apr 2025	51.6
Mar 2025	50.8

Average for 12 months —52.0
High —56.1
Low —50.2

BUSINESS ACTIVITY

ISM®’s Business Activity Index continued in expansion in February; the reading of 59.9 percent is 2.5 percentage points higher than the 57.4 percent recorded in January. February’s reading is the second highest since November 2022 (62.7 percent), behind only the reading of 60.5 percent in May 2024. Comments from respondents include: “The nuclear industry is ramping up for new reactor builds” and “Expansion in life science clients occurred this month as companies focus on new regulatory requirements for 2026.”

The 13 industries reporting an increase in business activity for the month of February — listed in order — are: Information; Mining; Real Estate, Rental & Leasing; Wholesale Trade; Finance & Insurance; Accommodation & Food Services; Agriculture, Forestry, Fishing & Hunting; Utilities; Professional, Scientific & Technical Services; Construction; Management of Companies & Support Services; Educational Services; and Health Care & Social Assistance. The only industry reporting a decrease in business activity for the month of February was Retail Trade.

Business Activity	% Higher	% Same	% Lower	Index
Feb 2026	26.8	62.2	11.0	59.9
Jan 2026	25.4	56.9	17.7	57.4

Business Activity	% Higher	% Same	% Lower	Index
Dec 2025	25.2	55.4	19.4	55.2
Nov 2025	24.7	58.4	16.9	54.1

NEW ORDERS

ISM®’s New Orders Index increased to 58.6 percent in February, remaining in expansion territory and 5.5 percentage points higher than the reading of 53.1 percent reported in January. The index has been in expansion territory in 36 of the last 38 months. Comments from respondents include: “Pulling in new purchases that were scheduled later in the year due to rising costs from AI data center expansion” and “Stronger consumer demands, interest-rate stabilization, improved supply chain and stronger services activity.”

The 15 industries reporting an increase in new orders for the month of February — listed in order — are: Mining; Information; Real Estate, Rental & Leasing; Construction; Wholesale Trade; Finance & Insurance; Accommodation & Food Services; Agriculture, Forestry, Fishing & Hunting; Other Services; Utilities; Professional, Scientific & Technical Services; Public Administration; Educational Services; Management of Companies & Support Services; and Health Care & Social Assistance. The two industries reporting a decrease in new orders for the month of February are: Retail Trade; and Arts, Entertainment & Recreation.

New Orders	% Higher	% Same	% Lower	Index
Feb 2026	32.8	53.4	13.8	58.6
Jan 2026	22.5	57.0	20.5	53.1
Dec 2025	21.4	63.4	15.2	56.5
Nov 2025	23.7	59.7	16.6	52.8

EMPLOYMENT

Employment activity in the services sector continued in expansion territory in February for its third month in a row. The Employment Index registered 51.8 percent, up 1.5 percentage points from the January figure of 50.3 percent. Comments from respondents include: “We are expecting activity to increase from 2026 to 2030, so we are hiring” and “ICE activity has caused some staff to not come into work.”

The seven industries reporting an increase in employment in February — listed in order — are: Mining; Accommodation & Food Services; Wholesale Trade; Professional, Scientific & Technical Services; Utilities; Information; and Public Administration. The five industries reporting a decrease in employment in February are: Retail Trade; Transportation & Warehousing; Other Services; Educational Services; and Health Care & Social Assistance. Six industries reported no change in Employment in the month of February.

Employment	% Higher	% Same	% Lower	Index
Feb 2026	16.2	68.7	15.1	51.8
Jan 2026	13.8	70.0	16.2	50.3
Dec 2025	15.2	72.3	12.5	51.7
Nov 2025	15.6	65.9	18.5	48.7

SUPPLIER DELIVERIES

In February, the Supplier Deliveries Index indicated slower performance for the 15th month in a row. The index registered 53.9 percent, down 0.3 percentage point from the 54.2 percent recorded in January. A reading above 50 percent indicates slower deliveries, while a reading below 50 percent indicates faster deliveries. Comments from respondents include: “A lot of commodities have held steady, while a few remain with extended lead times as manufacturers look to bring additional capacity online” and “Trucking issues at the Canadian border are delaying shipments, and, with the groundwood market tightening, more orders are being placed and dates pushed out.”

The nine industries reporting slower deliveries in February — in the following order — are: Agriculture, Forestry, Fishing & Hunting; Mining; Information; Real Estate, Rental & Leasing; Finance & Insurance; Management of Companies & Support Services; Professional, Scientific & Technical Services; Health Care & Social Assistance; and Utilities. The two industries reporting faster supplier deliveries for the month of February are: Transportation & Warehousing; and Public Administration. Seven industries reported no change in Supplier Deliveries in the month of February.

Supplier Deliveries	% Slower	% Same	% Faster	Index
Feb 2026	10.6	86.5	2.9	53.9
Jan 2026	10.0	88.4	1.6	54.2
Dec 2025	6.9	89.8	3.3	51.8
Nov 2025	12.6	82.9	4.5	54.1

INVENTORIES

The Inventories Index returned to expansion territory after one month of contraction, registering 56.4 percent, an 11.3-percentage point increase compared to the 45.1 percent reported in January. Of the total respondents in February, 31 percent indicated they do not have inventories or do not measure them. Comments from respondents include: “After maintaining and reducing some inventories at the end of the year, inventory levels are starting to build up in preparation of the activity for the next three quarters” and “Getting ready for spring volume.”

The nine industries reporting an increase in inventories in February — in the following order — are: Finance & Insurance; Accommodation & Food Services; Real Estate, Rental & Leasing; Retail Trade; Public Administration; Management of Companies & Support Services; Professional, Scientific & Technical Services; Utilities; and Wholesale Trade. The three industries reporting a decrease in inventories in February are: Transportation & Warehousing; Information; and Health Care & Social Assistance. Six industries reported no change in Inventories in the month of February.

Inventories	% Higher	% Same	% Lower	Index
Feb 2026	24.0	64.7	11.3	56.4
Jan 2026	11.7	66.8	21.5	45.1
Dec 2025	18.4	71.6	10.0	54.2
Nov 2025	19.0	68.7	12.3	53.4

PRICES

Prices paid by services organizations for materials and services increased in February for the 105th consecutive month. The Prices Index registered 63 percent, 3.6 percentage points lower than the 66.6 percent recorded in January.

Sixteen industries reported an increase in prices paid during the month of February, in the following order: Other Services; Professional, Scientific & Technical Services; Finance & Insurance; Health Care & Social Assistance; Wholesale Trade; Public Administration; Construction; Information; Accommodation & Food Services; Agriculture, Forestry, Fishing & Hunting; Retail Trade; Utilities; Educational Services; Real Estate, Rental & Leasing; Management of Companies & Support Services; and Transportation & Warehousing. No industry reported a decrease in February.

Prices	% Higher	% Same	% Lower	Index
Feb 2026	30.7	65.7	3.6	63.0
Jan 2026	33.4	64.6	2.0	66.6
Dec 2025	27.5	65.8	6.7	65.1
Nov 2025	31.0	64.6	4.4	65.9

NOTE: Commodities reported as up in price and down in price are listed in the commodities section of this report.

BACKLOG OF ORDERS

The ISM® Services Backlog of Orders Index was in expansion territory for its first time in 12 months, and the reading of 55.9 percent was an 11.9-percentage point increase compared to the 44 percent reported in January. Of the total respondents in February, 30 percent indicated they do not measure backlog of orders. Respondent comments include: “Manufacturer lead times are increasing” and “Sales seem to be up for our retail customers.”

The seven industries reporting an increase in order backlogs in February — listed in order — are: Real Estate, Rental & Leasing; Information; Wholesale Trade; Professional, Scientific & Technical Services; Management of Companies & Support Services; Utilities; and Construction. The six industries reporting a decrease in order backlogs in February — in the following order — are: Mining; Agriculture, Forestry, Fishing &

Hunting; Retail Trade; Public Administration; Finance & Insurance; Transportation & Warehousing; and Health Care & Social Assistance.

Backlog of Orders	% Higher	% Same	% Lower	Index
Feb 2026	22.6	66.6	10.8	55.9
Jan 2026	9.6	68.8	21.6	44.0
Dec 2025	10.1	64.9	25.0	42.6
Nov 2025	15.9	66.3	17.8	49.1

NEW EXPORT ORDERS

Orders and requests for services and other non-manufacturing activities to be provided outside of the U.S. by domestically based companies expanded in February. The New Export Orders Index registered 57.2 percent, up 12.2 percentage points compared to the January reading of 45 percent and its highest reading since July 2024 (58.5 percent). Of the total respondents in February, 41 percent indicated they do not perform, or do not separately measure, orders for work outside of the U.S. Respondent comments include: “Award of a new tender in South America for product” and “U.S. dollar more favorable in trade.”

The six industries reporting an increase in new export orders in February, in order, are: Real Estate, Rental & Leasing; Mining; Transportation & Warehousing; Utilities; Information; and Professional, Scientific & Technical Services. The two industries reporting a decrease in new export orders in February are: Construction; and Health Care & Social Assistance. Ten industries reported no change in exports in February.

New Export Orders	% Higher	% Same	% Lower	Index
Feb 2026	20.5	73.3	6.2	57.2
Jan 2026	9.1	71.7	19.2	45.0
Dec 2025	16.4	75.5	8.1	54.2
Nov 2025	11.2	75.0	13.8	48.7

IMPORTS

The Imports Index returned to expansion territory in February for its second time in the last six months, registering 51.8 percent, 3.6 percentage points higher than the 48.2 percent reported in January. Of the total respondents in February, 39 percent reported that they do not use, or do not track the use of, imported materials. Respondent comments include: “We are seeing higher levels at the Philadelphia and New York piers” and “Imports fell 35 percent from China but increased from other Asian countries.”

The five industries reporting an increase in imports for the month of February are: Accommodation & Food Services; Educational Services; Other Services; Transportation & Warehousing; and Professional, Scientific & Technical Services. The three industries reporting a decrease in imports in February are: Retail Trade; Wholesale Trade; and Agriculture, Forestry, Fishing & Hunting. Ten industries reported no change in imports in February.

Imports	% Higher	% Same	% Lower	Index
Feb 2026	10.8	82.0	7.2	51.8
Jan 2026	3.2	89.9	6.9	48.2
Dec 2025	11.6	77.4	11.0	50.3
Nov 2025	12.3	73.1	14.6	48.9

INVENTORY SENTIMENT

The ISM® Services Inventory Sentiment Index was in expansion (or “too high”) territory for the 34th consecutive month in February; the reading of 55.3 percent is an increase of 1 percentage point compared to January’s figure of 54.3 percent. This reading indicates that respondents feel their companies’ inventory levels are too high when correlated to business requirements.

The 10 industries reporting sentiment that their inventories were too high in February — listed in order — are: Accommodation & Food Services; Arts, Entertainment & Recreation; Retail Trade; Other Services; Agriculture, Forestry, Fishing & Hunting; Wholesale Trade; Public Administration; Construction; Educational Services; and Health Care & Social Assistance. Four industries reporting a decrease in inventory sentiment in February are: Real Estate, Rental & Leasing; Management of Companies & Support Services; Information; Professional, and

Scientific & Technical Services.

Inventory Sentiment	% Too High	% About Right	% Too Low	Index
Feb 2026	17.0	76.6	6.4	55.3
Jan 2026	13.1	82.4	4.5	54.3
Dec 2025	13.8	80.6	5.6	54.1
Nov 2025	13.8	81.9	4.3	54.8

ABOUT THIS REPORT

DO NOT CONFUSE THIS NATIONAL REPORT with the various regional purchasing reports released across the country. The national report's information reflects the entire U.S., while the regional reports contain primarily regional data from their local vicinities. Also, the information in the regional reports is not used in calculating the results of the national report. The information compiled in this report is for the month of February 2026.

The data presented herein is obtained from a survey of supply executives in the services sector based on information they have collected within their respective organizations. ISM® makes no representation, other than that stated within this release, regarding the individual company data collection procedures. The data should be compared to all other economic data sources when used in decision-making.

DATA AND METHOD OF PRESENTATION

The **ISM® Services PMI® Report** (formerly the Non-Manufacturing ISM® *Report On Business*®) is based on data compiled from purchasing and supply executives nationwide. Membership of the Services Business Survey Panel (formerly Non-Manufacturing Business Survey Committee) is diversified by the North American Industry Classification System (NAICS), based on each industry's contribution to gross domestic product (GDP). The Services Business Survey Panel responses are divided into the following NAICS code categories: Agriculture, Forestry, Fishing & Hunting; Mining; Utilities; Construction; Wholesale Trade; Retail Trade; Transportation & Warehousing; Information; Finance & Insurance; Real Estate, Rental & Leasing; Professional, Scientific & Technical Services; Management of Companies & Support Services; Educational Services; Health Care & Social Assistance; Arts, Entertainment & Recreation; Accommodation & Food Services; Public Administration; and Other Services (services such as Equipment & Machinery Repairing; Promoting or Administering Religious Activities; Grantmaking; Advocacy; and Providing Dry-Cleaning & Laundry Services, Personal Care Services, Death Care Services, Pet Care Services, Photofinishing Services, Temporary Parking Services, and Dating Services). The data are weighted based on each industry's contribution to GDP. According to U.S. Bureau of Economic Analysis (BEA) estimates (the average of the fourth quarter 2024 GDP estimate and the GDP estimates for first, second, and third quarter 2025, as released on January 22, 2026), the six largest services sectors are: Real Estate, Rental & Leasing; Public Administration; Professional, Scientific, & Technical Services; Health Care & Social Assistance; Information; and Finance & Insurance.

Survey responses reflect the change, if any, in the current month compared to the previous month. For each of the indicators measured (Business Activity, New Orders, Backlog of Orders, New Export Orders, Inventory Change, Inventory Sentiment, Imports, Prices, Employment and Supplier Deliveries), this report shows the percentage reporting each response and the diffusion index. Responses represent raw data and are never changed. Data is seasonally adjusted for Business Activity, New Orders, Prices and Employment. All seasonal adjustment factors are subject annually to relatively minor changes when conditions warrant them. The remaining indexes have not indicated significant seasonality.

The Services PMI® is a composite index based on the diffusion indexes for four of the indicators with equal weights: Business Activity (seasonally adjusted), New Orders (seasonally adjusted), Employment (seasonally adjusted) and Supplier Deliveries. Diffusion indexes have the properties of leading indicators and are convenient summary measures showing the prevailing direction of change and the scope of change. An index reading above 50 percent indicates that the services economy is generally expanding; below 50 percent indicates that it is generally declining. Supplier Deliveries is an exception. A Supplier Deliveries Index above 50 percent indicates slower deliveries and below 50 percent indicates faster deliveries.

A Services PMI® above 48.1 percent, over time, indicates that the overall economy, or gross domestic product (GDP), is generally expanding; below 48.1 percent, it is generally declining. The distance from 50 percent or 48.1 percent is indicative of the strength of the expansion or decline.

The **ISM® Services PMI® Report** survey is sent out to Services Business Survey Panel respondents in the first part of each month. Respondents are asked to ONLY report on U.S. operations for the current month. ISM® receives survey responses throughout most of any given month, with the majority of respondents generally waiting until late in the month to submit responses to give the most accurate picture of current business activity. ISM® then compiles the report for release on the third business day of the following month.

The industries reporting growth, as indicated in the **ISM® Services PMI® Report**, are listed in the order of most growth to least growth. For the industries reporting contraction or decreases, those are listed in the order of the highest level of contraction/decrease to the least level of contraction/decrease.

ISM PMI® CONTENT

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